

EG Daily Brief: US-Iran escalation likely by mid-August

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Daily Brief: US-Iran escalation likely by mid-August

Escalation in the Middle East | China's GDP slump | French far-right odds | Farage by-election | Senegal government outlook | Upcoming conference calls | EG in depth

summary

- * Escalation between the US and Iran seems likely, as Iran seeks to wield permanent influence over the Strait of Hormuz.
- * China is unlikely to announce new stimulus measures to counter a slump in quarterly GDP, as it is still in line to hit the year-on-year target of 4.5%-5%.
- * The odds for French far-right win in the spring's presidential elections improve on the back of Marine Le Pen's legal reprieve, but a centrist win is still EG's basecase.
- * Reform leader Nigel Farage's by-election gamble could hinder the party's momentum.
- * Regions, countries, and sectors covered in this edition include the US, China, France, Iran, Mexico, Russia, Senegal, and the UK.

the top line

Iran, MENA Crisis—Escalation likely as Iran sees path to Hormuz control

- * With the shaky peace over, the US and Iran will maintain more aggressive postures for the next month, with a standoff that pulls down Strait of Hormuz traffic and pushes up oil prices.
- * Iran will be tempted to escalate in an attempt to wield permanent influence over the strait—likely vectors include disrupting Red Sea traffic via Houthi allies in Yemen or strikes on regional energy infrastructure.
- * Likely targets for new US strikes include Iran's remaining nuclear facilities and stockpiles of ballistic missiles as it seeks to weaken Iran enough to shift the balance of power in future negotiations.
- * Read more here . Reach out to discuss: MENA@eurasiagroup.net .

China—GDP slump deepens divide between exports and domestic demand

- * China's National Bureau of Statistics reported that second quarter GDP grew 4.3% year-on-year, which, taken with other data releases, shows a growing contrast between export- and tech-driven expansion against stalling investment, fragile consumption.
- * Although the figure is the lowest on record (excluding the pandemic), Beijing is unlikely to announce new stimulus measures, as it is still in line to hit the year-on-year target of 4.5-5%.
- * Low retail sales (1.3% growth so far), a decline in overall investment, and service consumption continuing to outpace goods, show domestic demand remains weak. However, Chinese leaders see the transition to consumption led growth as a medium-term objective.
- * Read more here . Reach out to discuss: china@eurasiagroup.net .

France—Far-right odds grow despite legal tangle

- * Marine Le Pen's legal reprieve makes a far-right presidential victory in May more likely; two polls show her comfortably beating all rivals in the second round. However, EG's basecase remains a narrow Edouard Philippe victory.
- * Le Pen's return has upended internal Rassemblement National (RN) politics and brought back internal clashes with Bardella's supporters, which could prove troublesome down the line. Meanwhile, it has also increased the odds of Philippe, who is better positioned to win, being the centrist candidate over Gabriel Attal. Additionally, older swing voters she'd need to court could be put off by her conviction.
- * Le Pen's legal strategy is high-risk: If the cassation judgment comes before the first week in March, she would be forced to give way for Bardella. If the judgment falls in late March or April beyond the final registration deadline, the RN might have no candidate at all.
- * Read more here . Reach out to discuss: europe@eurasiagroup.net .

UK—Farage's by-election gamble could trash Reform's momentum

- * Reform UK leader Nigel Farage should comfortably defeat comedic candidate Count Binface in the 13 August Clacton by-election, but a campaign dominated by ridicule is unlikely to restore his authority or reinvigorate his party's political ascent.
- * If Farage loses, he will stay on as party leader and fight to reclaim the seat in the next general election, while a win would bring a resumed parliamentary inquiry into his donations.
- * Prolonged scrutiny would damage both Farage and Reform and, combined with the growing challenge from Restore Britain, hurt its chances of capturing more of the right-of-center voters it needs to win a general election.
- * Read more here . Reach out to discuss: europe@eurasiagroup.net .

Senegal—Clash between Sonko and Lo raises the risk of government falling

* National Assembly President Ousmane Sonko publicly accused Prime Minister Al Amine Lo of seeking to change course in the management of Senegal's natural resources to favor the business climate over the people of Senegal.

* Sonko controls Pastef's parliamentary majority and could use it to bring down the government. However, the law is unclear on whether parliament can introduce a motion of no confidence if the new prime minister does not deliver a general policy statement.

* Parliament can pass a motion of no confidence only once every nine months. If Lo's government falls, President Diomaye Faye could appoint a new prime minister to form a new government, which could probably remain in place until the next snap legislative elections (likely early next year).

* Read more here . Reach out to discuss: africa@eurasiagroup.net .

Upcoming conference calls

* 20 July 10:00 AM ET—Brazil update: a conversation with Daniella Marques, advisor for Flavio Bolsonaro. Register here .

* 21 July 9:00 PM ET—Claude Mythos: cyber power, competition & global risk. Register here .

eg in depth

Mexico, US—Further unilateral US actions likely as Mexico rejects DEA accusations: President Claudia Sheinbaum's administration rejected Drug Enforcement Administration (DEA) Administrator Terrance Cole's claim that the Mexican government and drug cartels are "inseparable," arguing that the allegation is unfounded and ignores the administration's recent progress against organized crime. US security agencies will continue making such accusations as Sheinbaum resists calls to extradite public officials accused of ties to criminal organizations. The exchange comes as the US intensifies pressure on the Sheinbaum administration to investigate and prosecute politicians allegedly tied to organized crime. The dispute will place further strain on bilateral security cooperation as US pressure over alleged cartel-government links intensifies, increasing the likelihood of additional unilateral actions by US law enforcement agencies. Read more here . Reach out to discuss: mexico@eurasiagroup.net .

US, Russia—Graham sanctions bill likely to pass with discretion for White House: A sanctions package against Russia championed by late Senator Lindsey Graham (R-SC) will likely be passed in the coming weeks. The main hold-up is fear that the legislation creates tariff authorities that President Donald Trump will use beyond the bill's original scope. While these concerns are likely to be overcome by strong bipartisan support and congressional interest in countering Russia, continued hesitance caps our odds of passage at 60%. Indications that additional changes are required would lower these odds. The bill would sanction Russia's leadership, energy sector, shadow fleet, and financial sector, and give Trump the authority to implement 100% tariffs on the top buyers of Russian oil, though enforcement and implementation are at Trump's discretion. Trump is unlikely to go after larger targets like India and China, and smaller nations are more likely to see the tariffs utilized as a threat to generate concessions on one-off issues. Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Upcoming events:

* 17 July: Data: Eurozone CPI, US UMich consumer sentiment, Industrial Production.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, and Trista Kelley, with help from Marina Tavares, and Astral Betteridge.

closing quip

My job is to demonstrate that British democracy is wonderful and unique in the entire Cosmos."—Count Biface, the alter ego of comedian Jon Harvey and Nigel Farage's main rival in the forthcoming Clacton by-election

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative

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